

Supervisory methodology 2025

Introduction

The following sections provide a broad description of the Supervisory Review and Evaluation Process (SREP) methodology applied to significant institutions under the direct supervision of the European Central Bank (ECB) (as set out in the SSM Regulation^[1] and the SSM Framework Regulation^[2]). The ECB continuously refines its supervisory methodologies to ensure they are up to date and reflect the latest supervisory developments as well as regulatory requirements.

The ECB carries out the SREP assessment on the basis of a case-by-case approach using a standardised methodology, applying a principle of business and corporate governance neutrality.

The SREP approach:

- is consistent with the European Banking Authority (EBA) Guidelines on SREP (EBA/GL/2022/03)^[3], relevant Capital Requirements Directive (CRD)^[4] provisions as transposed into national laws, relevant Capital Requirements Regulation (CRR)^[5] provisions and other relevant EBA guidelines and regulatory technical standards as applied to the relevant risks assessed in the SREP;
- is regularly updated to ensure alignment with the EBA Guidelines on SREP and to reflect new regulations;
- draws on leading practices within the European banking supervision and methods recommended by international bodies^[6], thereby keeping up with evolving practices and ensuring continuous improvement;
- is applied in a proportionate manner to significant institutions, taking into account the nature, scale and complexity of their activities and, where relevant, their position within a group.

For official definitions and further information, please refer to the [EBA Guidelines on SREP](#).

1 The Supervisory Review and Evaluation Process

1.1 Executive summary

Joint Supervisory Teams (JSTs) regularly assess and measure risks to significant institutions. The teams are made up of supervisors from the ECB and national competent authorities and carry out this regular review and assessment to determine whether banks are complying with the relevant European laws and regulations and meeting the supervisory expectations.

Supervisors do this through the SREP, which is central to European banking supervision.

The SREP assesses the way a bank deals with its risks and the elements that could adversely affect its capital or liquidity, now or in the future. This process determines where a bank stands in terms of capital and liquidity requirements, as well as the adequacy of its internal governance arrangements and risk controls.

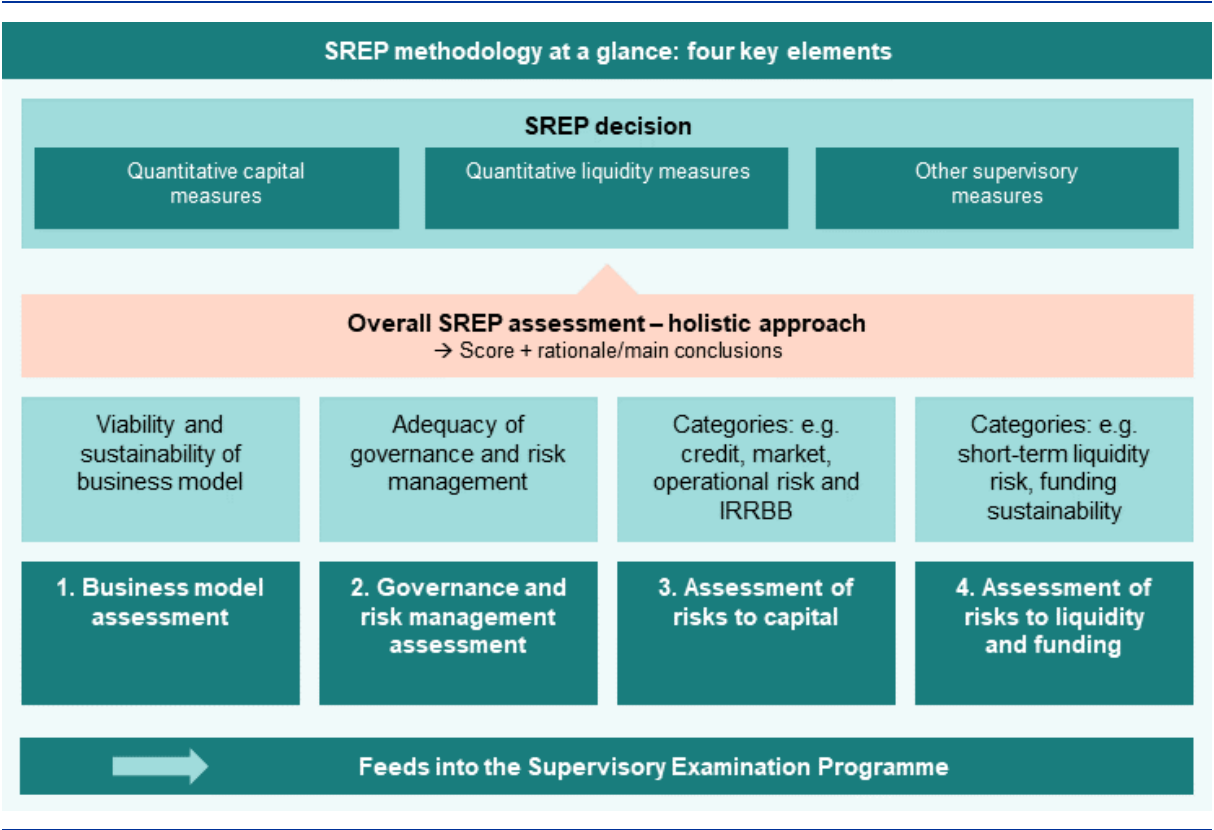
The SREP has three main outcomes:

- a holistic, forward-looking assessment of the overall viability of the institution^[7];
- a document communicating the outcome of the SREP to the supervised entity, including the applicable Pillar 2 capital/liquidity quantitative requirements and any additional qualitative measures;
- input into the determination of the minimum level of supervisory engagement for a specific institution as part of the next Supervisory Examination Programme ^[8].

The SREP is based on four elements:

- a business model and profitability assessment;
- an internal governance and risk management assessment;
- an assessment of risks to capital on a risk-specific basis (i.e., credit risk, market risk, operational risk, interest rate risk in the banking book – IRRBB – and credit spread risk in the banking book – CSRBB), of the institution's internal capital adequacy assessment process (ICAAP) and of its capital adequacy;
- an assessment of risks to liquidity and funding on a risk-specific basis (i.e. short-term funding, long-term funding and the institution's internally identified risks under normal scenarios and under stressed conditions), which feeds into the preliminary determination of a liquidity requirement to cover those risks, of the institution's internal liquidity adequacy assessment process (ILAAP) and of the adequacy of liquidity.

Figure 1
The SREP methodology



For each of the four SREP elements, a dedicated risk assessment system is used. The risk assessment system is fed with regular reporting, such as common reporting (COREP) and financial reporting (FINREP), and qualitative information, and it also includes ad hoc information obtained by JSTs from various sources on an ongoing basis. These include other data (e.g. short-term exercise (STE) data, internal bank data), reports (e.g. external audit reports), meetings and inputs stemming from on-site supervision and/or “deep dive” analysis. The outcome of this assessment is summarised in a “rationale” along with a score to facilitate comparison and provide a clear understanding of the results.

The approach for each of the four elements is based on the three phases described below and focused on a quantitative (risk level)^[9] and/or a qualitative (risk control)^[10] perspective in line with the [EBA Guidelines on SREP](#). Following the JST’s detailed assessment, each of the four elements is given a combined score ranging from 1 (low risk) to 4 (high risk). The four elements are scored using qualifiers for scores 2 and 3 (2+, 2, 2- and 3+, 3, 3-). The qualifiers should not be interpreted as a tool to express trends or outlooks, but as a tool to increase the granularity of the assessment, enabling a more precise reflection of year-on-year changes.

The assessment involves the evaluating the institution’s ICAAP and ILAAP, as well as the performance of stress tests.

The assessment of each element is performed in three phases:

- Phase 1: Supervisors gather data from the bank and assess the materiality of the risks.
- Phase 2: An automated preliminary anchoring score for the risk level and, where relevant, a qualitative check for risk control.
- Phase 3: Supervisors carry out a more thorough risk assessment, exercising supervisory judgement regarding the specificities of the bank.

Figure 2

The three phases of the SREP assessment

Phase 1 Data gathering	Phase 2 Automated anchoring score	Phase 3 Supervisory judgement
Main sources: • Quarterly ITS • STE reports • Materiality	Scoring risk level	Adjustments based on additional factors and considering banks' specificities and complexity

1.1.1 Overall assessment

The assessment of the four elements is then combined in an overall SREP assessment, which is summarised in an overall SREP score of between 1 and 4 (with qualifiers) and a main rationale which explains why the score in question has been assigned. In line with the [EBA Guidelines on SREP](#), this overall SREP score reflects the supervisor's overall assessment of the viability of the institution: higher scores reflect higher risks to the viability of the institution stemming from one or more features of its risk profile.

As an outcome of the assessment, banks may be asked to implement a range of quantitative measures to address any capital and liquidity shortcomings, as well as other qualitative measures.

Banks are informed of the outcome of the SREP assessment as part of the supervisory dialogue and they are formally notified through a SREP decision.^[11] The individual SREP decision supports other supervisory activities. It feeds into the Supervisory Examination Programme, which consists of strategic and operational planning for the upcoming supervisory cycle. Moreover, it has a direct impact on the frequency and depth of the bank's off-site and on-site supervision.

2 The framework

The SREP is a flexible and adjustable tool aimed at delivering risk-based supervision. The frequency, scope and depth with which the elements of the SREP are assessed depend on the supervised bank's specific circumstances, as captured in the level of supervisory engagement.

The SREP assessment is generally performed on the basis of year-end data from the previous year (e.g. the SREP 2025 assessment was mainly based on year-end data for 2024) but it also considers

any relevant information after that date. The outcomes of the SREP assessment translate into SREP decisions applicable for the following year, e.g. the outcomes of the SREP 2025 assessment were reflected in SREP decisions applicable for 2026.

2.1 Backward and forward-looking perspectives

The SREP aims to assess an institution's intrinsic riskiness, its position vis-à-vis a group of peers and its vulnerability to exogenous factors.

Supervisors need to adopt a forward-looking perspective to assess an institution's future viability and react accordingly. Thus, the SREP assesses an institution's viability over a short-term (12-month) horizon as well as its sustainability from a medium to long-term perspective. A range of backward and forward-looking quantitative and qualitative information is used.

Past developments are a key input into the assessment, since reliable data are, in general, widely available and give an indication of future developments. This perspective is complemented by forward-looking information (including, for instance, institutions' capital and liquidity planning, and institutions' own and supervisory stress tests).

2.2 Holistic approach

The SREP aims to produce an overall picture of an institution's risk profile that is as complete as possible, considering all relevant risks and their possible mitigants. An institution's risk profile is necessarily multi-faceted, and many risk factors are interrelated. Any possible supervisory action must take into consideration any dependencies. For this reason, the four elements of the SREP need to be looked at together when producing the overall SREP assessment and preparing the SREP decision.

A holistic approach is also used for the determination of additional capital requirements. The approach is expanded by looking more closely at the individual drivers of risk, since the factors that feed into the overall supervisory assessment of a bank do not all have the same impact on its additional capital requirements.

2.3 Accountability

The SREP results in supervisory actions, including decisions on capital or liquidity or other types of supervisory measure. These measures (whether immediate, short-term or more structural) have to be taken into account in supervisory planning.

The SREP provides high-quality supervision to ensure financial stability within the euro area. This entails enhancing institutions' resilience to shocks. JSTs carry out their assessments in a conservative manner, adopting a fair but tough approach, and take the necessary action to enhance and ensure the viability of institutions.

2.4 Constrained judgement

The SREP methodology allows for constrained judgment to ensure consistency across institutions, but at the same time, JSTs are able to take into account institution-specific circumstances. Constrained judgment enables JSTs to adjust the scores derived from automated scoring in Phase 2 based on the supervisory insight from Phase 3, within a defined range.

Constrained judgement can be summarised as follows:

- Anchoring scores promotes consistency across all institutions.

- Applying supervisory judgement ensures assessments reflect the institution's actual risk profile, making it more effective.
- Documenting the rationale is crucial for transparency, accountability and comparability.

Anchoring scores are used throughout the SREP as a homogeneous starting point for the supervisory assessment. Supervisory judgement – guided by a common SREP methodology – is then used to adjust the results of such anchoring to reflect each institution's specific risk profile, allowing supervisors to depart from anchor scores within a pre-defined range. Constrained judgement is used by JSTs in both directions – raising or lowering the scores – and each step is documented, to ensure accountability.

2.5 The risk tolerance framework and the SREP

European banking supervision has implemented a risk tolerance framework (RTF) to better focus its work on strategic priorities and key vulnerabilities. The framework plays a central role in fostering a risk-focused supervisory culture that empowers supervisors to tailor their activities to the individual situation of the bank they are supervising, rather than applying a one-size-fits-all approach.

The RTF is designed to facilitate in particular the translation of the supervisory priorities into strategic planning and day-to-day supervision. For this purpose, the RTF combines top-down guidance on prioritised risks and vulnerabilities issued by the Supervisory Board with bottom-up relevance assessments for each individual bank. The bottom-up assessments are an important complement as some banks may have very idiosyncratic issues which affect supervisors' risk tolerance levels across risks and, consequently, the supervisory focus. Within the framework, supervisors are empowered to make full use of the flexibility embedded in the supervisory toolkit to focus on the most essential tasks.

One of the core processes in which the RTF is being applied is the new multi-year approach for the SREP. The RTF helps supervisors to plan their individual SREP activities in a more flexible way over the medium term and to concentrate their scarce resources on those risks that most merit scrutiny and intervention in each SREP cycle.

2.6 The SREP multi-year assessment

The SREP multi-year assessment (MYA) is designed to give JSTs greater flexibility in conducting their supervisory assessments while maintaining the comprehensive nature of the annual supervisory review across all four SREP elements to avoid any potential blind spots. The SREP MYA is integrated into the overall supervisory planning to promote a culture of risk-based supervision.

The MYA is structured around a core assessment conducted every year and a set of SREP modules that are evaluated based on a multi-year approach. The core assessment constitutes the minimum level of annual evaluation, ensuring consistent oversight across the four SREP elements. These SREP elements are subsequently broken down into specific modules which are assessed based on a multi-year approach, allowing a more focused and strategic approach to supervision. The period for this multi-year approach and the reporting of the SREP results are calibrated on the basis of the complexity of the bank, with more complex and larger institutions demanding a more frequent review.

The SREP MYA modular framework is aimed at achieving an efficient and effective supervisory process. Supervisors have the ability to determine which focus areas to prioritise each year. They can

thus allocate more resources to conducting in-depth reviews where they are most needed in a given year, such as in areas of emerging risks or where significant changes have been identified.

3 The overall SREP

3.1 Preparation: information sources

The SREP assessment uses a wide range of quantitative and qualitative information sources.

Quantitative data are of particular importance for fostering consistency and comparability.

Key sources of quantitative information include (non-exhaustive list):

- risk indicators based on FINREP and COREP data (available at a consolidated level since mid-2014);
- risk indicators from sources other than FINREP/COREP;
- indicators of economic and market conditions (GDP, sector non-performing loans, market volatility, etc.);
- other, non-harmonised regulatory data (central credit register, etc.);
- banks' internal information (ICAAP, ILAAP, including stress tests, internal reports, etc.);
- financial statements, Pillar 3 disclosures;
- peer group indicators;
- supervisory stress test results;
- market information (external ratings, investors' quantitative analyses, etc.).

Key sources of qualitative information include (non-exhaustive list):

- relevant documentation, such as policy documents;
- supervisory findings (inspection reports, meeting reports, etc.);
- institutions' internal documents, such as financial statements, risk management reports (dashboards, limit reports, etc.), risk appetite statements, ICAAP/ILAAP information, management body memos, organisational charts, internal audit reports, whistle-blower reports, etc.;
- reports on the environment in which institutions operate: risk trends, new areas of focus, analysts' reports, rating agencies' reports, equity analyst recommendations, news, etc.

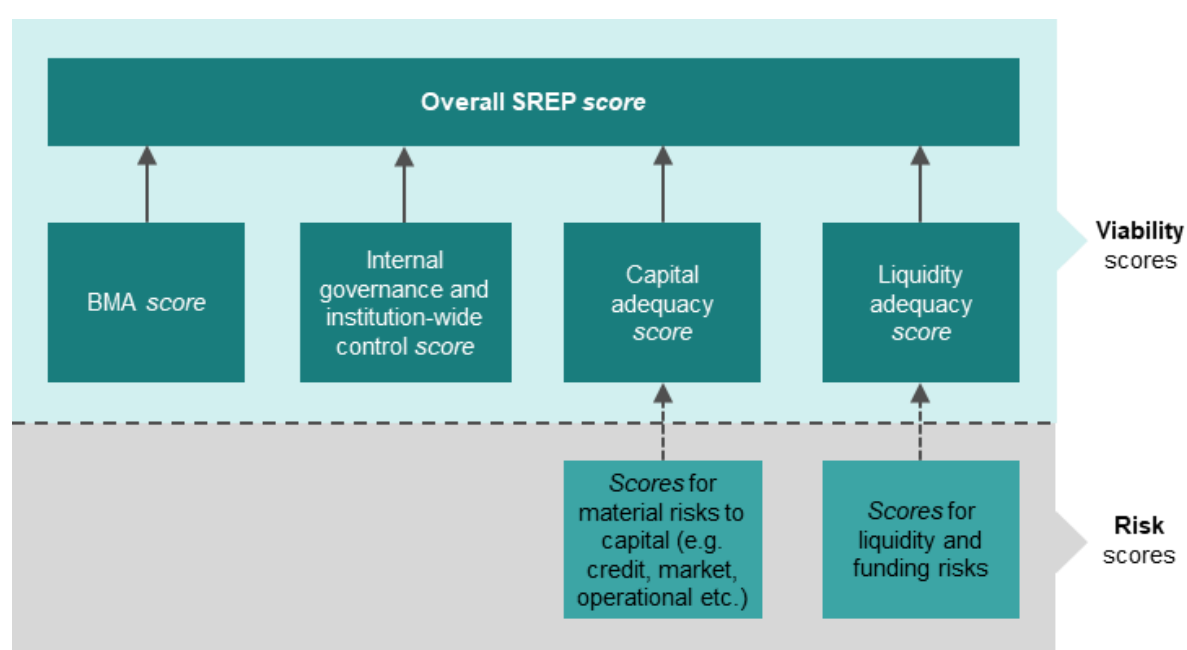
3.2 Evaluation: overview

The dedicated risk assessment system supports the JSTs' day-to-day supervisory work. It is used for their ongoing analysis of Element 1 (business model), Element 2 (internal governance and risk management), Element 3 (risks to capital) and Element 4 (risks to liquidity and funding).

Supervisory assessments of the four elements and the overall SREP are formalised in a rationale and a score. In the rationale, the JST highlights the main factors driving its assessment, key deficiencies and their possible effects on the institution's viability, supported by key evidence such as tables and figures.

Scores are mostly used as a means of summarising supervisors' views and facilitating high-level, cross-sector comparisons and communication, both within the European banking supervision framework and with the institution itself. They should not be confused with other types of rating, such as those used by rating agencies or institutions to assess a debtor's ability to pay back its debt or the likelihood of its default.

Figure 3
Overview of the scoring framework

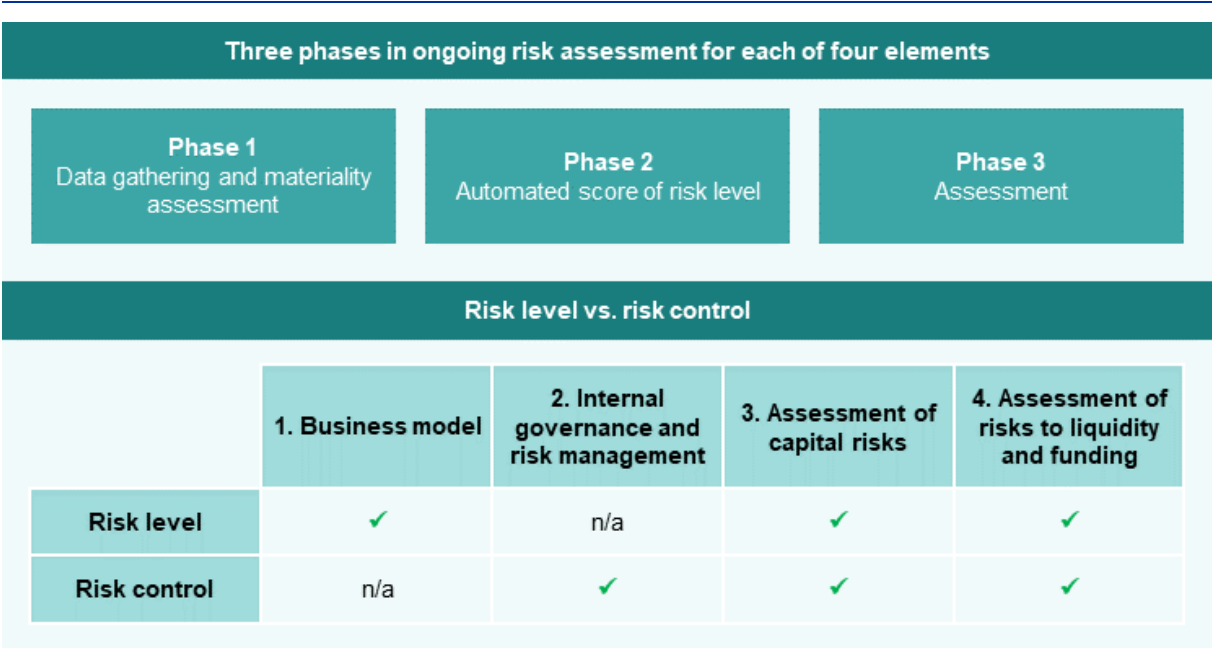


Source: EBA Guidelines on SREP.

Risk elements are assessed from both a quantitative (risk level)^[12] and a qualitative (risk control)^[13] perspective.

For each perspective, assessments are performed in three complementary phases^[14]:

Figure 4
 The three complementary phases of risk level and risk control assessments



Note: “n/a” means not applicable.

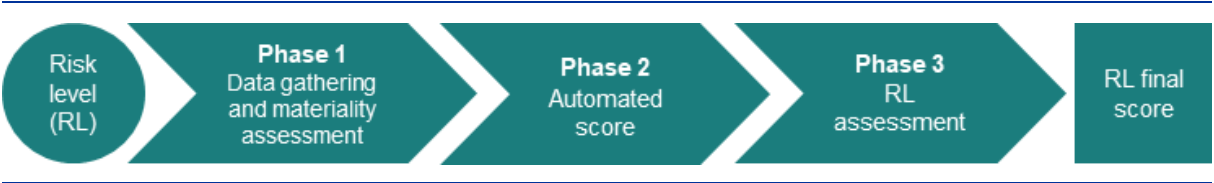
These three phases establish a logical sequence to be followed when performing the assessment. In practice, additional information gathered during the supervisory activities needs to be recorded on an ongoing basis. The outcome of Phase 3 may also require the JST to obtain additional information in order to refine its assessment.

3.2.1 Considerations in relation to inherent risk: risk level

A risk level assessment refers to the intrinsic riskiness of an institution’s portfolios and takes account of several different aspects, including the institution’s position relative to its peers and macro factors that may influence its risk profile.

These aspects are reviewed in the three-phase process mentioned above.

Figure 5
 The three phases of the (quantitative) risk level assessment



Phase 1
 This information/data gathering phase allows the JST to maintain up-to-date information on an institution’s activities, risks and processes. It is also an initial opportunity to identify the materiality of the

risk factors and sub-categories that will be assessed in Phase 3.

The “materiality” of an institution’s risks is taken into account for two main reasons: (i) to identify those activities and risks which are critical for an institution’s ability to ensure sound management and coverage of its risks; and (ii) to focus supervisory work and decisions on those activities that entail risks which threaten the institution’s capacity to operate, either in the short term (viability) or in the medium to long term (sustainability), and its ability to cover and manage its risks.

A “material risk” is defined as a risk that would have an impact on the “prudential elements” of the institution if it materialised. The materiality of a risk reflects both size and riskiness.

Phase 2

Phase 2 delivers an automated score which serves as an anchor for the risk level assessment. The scoring is based on pre-defined indicators/criteria identified by European banking supervisors to describe the riskiness of banks in a simplified yet comparable way. To ensure comparability, indicators are calculated on the basis of regulatory rather than internal reporting.

Each Phase 2 indicator is associated with a score ranging from 1 to 4 based on thresholds. When choosing the indicators and the corresponding thresholds, a balance was struck between accuracy and simplicity so that they could be applied to a very large population of institutions with different business models. The relevance of the indicators, thresholds and aggregation rules is monitored and back-tested ex post on a regular basis and updated as deemed appropriate.

Phase 3

In the main assessment phase, supervisors review a broad range of quantitative and qualitative information to gain an accurate picture of an institution from a quantitative perspective and to shed light on its relative position vis-à-vis its peers and the environment in which it operates. Phase 3 complements the limitations of the standardised assessment performed in Phase 2. Results are expressed by means of a rationale summarising the assessment and a score.

The JSTs then adjust the Phase 2 risk level score on the basis of the Phase 3 intermediate score following the constrained judgement approach.

Common scores for the assessment of the risk level

1 = “Low”: There is no discernible risk of significant impact on the prudential elements of the group or its entities, given the inherent risk level.

2 = “Medium-low”: There is a low risk of significant impact on the prudential elements of the group or its entities, given the inherent risk level.

3 = “Medium-high”: There is a medium risk of significant impact on the prudential elements of the group or its entities, given the inherent risk level.

4 = “High”: There is a high risk of significant impact on the prudential elements of the group or its entities, given the inherent risk level.

3.2.2 Considerations in relation to adequate management and controls: risk control

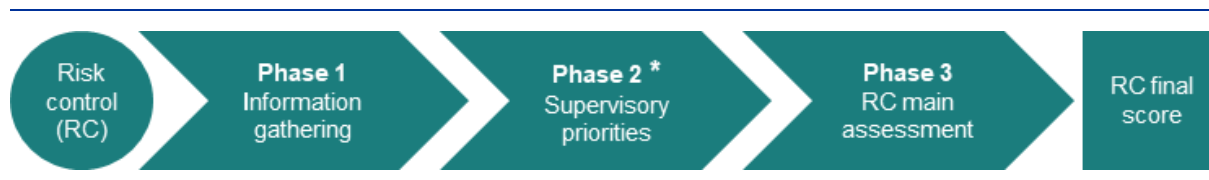
A risk control assessment assesses the adequacy and appropriateness of (i) an institution’s internal governance/risk management and (ii) the risk management and controls in place. Risk control

assessments cover aspects such as how institutions monitor their risk exposures and the adequacy of their internal policies, organisation and limits.

Category-specific risk control arrangements that are assessed need to be consistent with the general internal governance/risk management at the level of the institution.

Figure 6

The three phases of the (qualitative) risk control assessment



* Phase 2 of risk control within the SREP framework is only applied to Element 2.

Phase 1

The information gathering phase involves assembling relevant data and information on the key features of an institution's risk control/internal governance environment.

Phase 2

This phase is only applied to Element 2 (internal governance and risk management) in accordance with which supervisors check whether an institution's internal governance and risk control framework complies with the selected requirements relating to the supervisory priorities for the given SREP cycle.

Phase 3

In the main assessment phase, supervisors assess how the governance and control framework works in practice, taking into account the scale and complexity (business model, organisational structure, etc.) of the institution.

The JST performs an in-depth analysis of the areas identified as non-compliant from a risk mitigation perspective, notably by considering questions such as the following:

- > What are the reasons for non-compliance?
- > Is the non-compliance confirmed and does it constitute a breach of regulatory requirements?
- > Are there mitigating factors?
- > What could the supervisory response be?

The JSTs assess the risk control modules, identifying underlying reasons for the score assigned (key strengths and deficiencies, mitigants and other relevant corrective factors).

Although the competence to supervise credit and financial institutions as regards anti-money laundering and countering the financing of terrorism (AML/CFT) lies with national authorities and the ECB's supervisory tasks explicitly exclude AML/CFT supervision, in line with the applicable legal framework^[15], the ECB should consistently factor money laundering and financing of terrorism (ML/FT)

risks into its relevant supervisory activities, taking into consideration the input of AML/CFT supervisors. In this context, the ECB has developed an approach aimed at identifying and reflecting AML/CFT-related concerns and associated prudential warning signals in its prudential supervision, leveraging the information exchanged with national AML/CFT authorities under the different legal frameworks.^[16] Based on the insights gained in such exchanges, the ECB incorporates prudential concerns in relation to AML/CFT when assessing an institution's business model (Element 1), internal governance and risk management (Element 2), operational risk (Element 3), credit risk (Element 3) and risks to liquidity (Element 4).

Common scores for the assessment of risk control

1 = "Strong control": There is no discernible risk of significant impact on the prudential elements of the group or its entities, given the quality of management, organisation and controls. The level of risk management and control is high. The risk management and control framework is clearly defined and fully compatible with the nature and complexity of the institution's activities.

2 = "Adequate control": There is a low risk of a significant impact on the prudential elements of the group or its entities, given the quality of management, organisation and controls. The level of risk management and control is acceptable. The risk management and control framework is adequately defined and sufficiently compatible with the nature and complexity of the institution's activities.

3 = "Weak control": There is a medium risk of a significant impact on the prudential elements of the group or its entities, given the quality of management, organisation and controls. The level of risk management and control is weak and needs improvement. The risks are insufficiently mitigated and controlled, leaving an excessive residual risk. The risk management and control framework is poorly defined or insufficiently compatible with the nature and complexity of the institution's activities.

4 = "Inadequate control": There is a high risk of significant impact on the prudential elements of the group or its entities, given the quality of management, organisation and controls. The level of risk management and control is very low and needs drastic and/or immediate improvement. The risks are not – or only inadequately – mitigated and are poorly controlled. The risk management and control framework is not defined or is not compatible with the nature and complexity of the institution's activities.

3.2.3 Combining risk level and risk control assessments

The assessments of a category's risk level and risk control are combined to provide a "combined assessment".

For each risk category relating to capital and liquidity, risk level and risk control scores are aggregated. Starting from the basis that a risk control score of 2 ("adequate control") is "neutral", in which case the combined score is identical to the risk level score, some combinations require the application of supervisory judgement.

- If risk control is "strong" (i.e. 1), the JST may choose to assign a combined score that is identical to or better than the risk level score.
- If risk control is "weak" (i.e. 3), the JST may choose to assign a combined score that is identical to

or worse than the risk level score.

- If risk control is “inadequate” (i.e. 4), the JST may choose to assign a combined score that is worse than the risk level score.
- For Element 3 (risks to capital), the assessments of individual risk categories are subsequently combined using a weighted average to produce an overall assessment of capital-related risks.

3.2.4 The overall assessment

Once the four elements have been assessed, supervisors assign an overall SREP score ranging from 1 to 4. In line with the EBA Guidelines on SREP, this overall SREP score represents the supervisory view on the overall viability of the institution.

The overall SREP score takes into account the outcome of the assessments of individual risks: higher scores reflect an increased risk to the viability of the institution stemming from one or more features of its risk profile, including its business model, its internal governance framework and individual risks to its solvency or liquidity positions.

The JST can then adjust this anchoring overall SREP score by applying constrained judgement based on: (i) the JST’s knowledge of the institution, (ii) peer comparisons, (iii) the macro environment in which the institution operates, (iv) the institution’s capital/liquidity planning to ensure a sound trajectory towards full implementation of the CRR/CRD, and (v) European banking supervision’s risk tolerance. The overall SREP score reflects weaknesses identified during the SREP that the JST considers particularly important for the institution.

The aim is to provide a holistic assessment of an institution’s risk profile and, if need be, determine the most appropriate supervisory measures (own funds requirements, liquidity requirements or other qualitative supervisory measures). As regards additional own funds requirements, the holistic approach is expanded on by taking a closer look at the institution’s individual risk drivers.

3.3 Communicating the output of the SREP to the supervised entity

3.3.1 SREP decision

The SREP decision is taken under Article 16 of the SSM Regulation and is issued following a hearing (see Article 22(1) and Article 31 of the SSM Framework Regulation). It must be duly reasoned (see Article 22(2) of the SSM Regulation and Article 33 of the SSM Framework Regulation).

SREP decisions are adopted by the Governing Council via the non-objection procedure on the basis of complete draft decisions proposed by the Supervisory Board and may include the following:

Own funds requirements

- Total SREP capital requirement composed of Pillar 1 minimum own funds requirements (8%) and additional own funds requirements (Pillar 2 requirements – P2R)
- Combined buffer requirements

Institution-specific quantitative liquidity requirements

- > Liquidity coverage ratio higher than the regulatory minimum
- > Higher survival periods
- > National measures

Other supervisory measures

- > Additional supervisory measures^[17] stemming from Article 16(2) of the SSM Regulation (such as the restriction or limitation of business, a requirement to reduce risks, restrictions on or prior approval for the distribution of dividends, and the imposition of additional or more frequent reporting obligations)
- > Pillar 2 guidance expressed as a CET1 ratio add-on

3.3.2 SREP operational letter

For institutions with low and stable risk profiles (stable combined score of 3+ or better), the SREP outcome may also be communicated by way of a SREP operational letter^[18] instead of through a SREP decision. This applies only as long as no new own funds requirements, institution-specific quantitative liquidity requirements or other qualitative supervisory requirements are being issued. In that case, the previously issued requirements remain applicable unless they have been remediated in the meantime. New recommendations, however, can be issued by way of an operational letter.

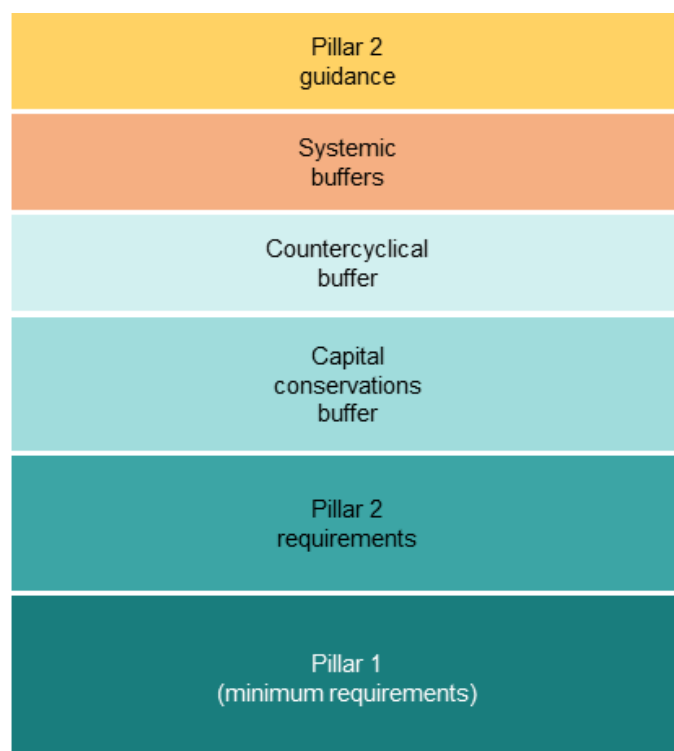
3.3.3 Capital requirements

If a SREP assessment shows that the arrangements, strategies, processes and mechanisms implemented by the credit institution and the own funds held by it do not ensure sound management and coverage of risks, the ECB may impose a Pillar 2 requirement (P2R) and Pillar 2 guidance (P2G).

The ECB sets P2G above the level of binding capital requirements (minimum and additional) and on top of the combined buffers. If a bank does not comply with its P2G, this will not result in automatic action by the supervisor and will not trigger any limitations on the distributable amount. However, the ECB will closely monitor institutions that do not comply with P2G and will consider whether – and, if so, which – measures are to be taken to address the specific circumstances at the bank.

Banks also need to consider the systemic buffers (G-SII, O-SII and systemic risk buffers) and the countercyclical buffer in the capital stack.

Figure 7
Capital stack



In order to assess the final measures to be taken, the Supervisory Board will assess every instance of a bank not complying with its P2G and may take appropriate bank-specific action as deemed necessary.

As part of the Pillar 2 framework, qualitative outcomes of the stress test are taken into account in the determination of the P2R, especially for the risk governance element.

ECB Banking Supervision has refined its approach to setting the P2R to reflect the new elements covered in CRD V^[19] and the EBA Guidelines on SREP. As a result, the holistic approach used to determine the P2R has been expanded by looking more closely at institutions' individual risk drivers, which should be addressed through additional capital requirements.

Details on [How the Pillar 2 requirement is set](#)

With regard to the leverage ratio capital stack, see details on the [Leverage ratio Pillar 2 requirement](#)

In the determination of P2G, the ECB Banking Supervision [methodology](#) maps the stress test results onto capital guidance through a bucketing framework consisting of a two-step approach.^[20] The first step allocates banks to P2G buckets on the basis of their maximum CET1 capital depletion in the stress test. The second step then allows supervisors to incorporate bank-specific criteria/information. The inclusion of bank-specific information results in the final P2G, in most cases within the ranges of the bucket and exceptionally outside them.

Supervisors may, for example, consider the following sources of information when setting P2G as part of a holistic approach:

- The starting point when setting P2G is, in general, the depletion of capital in the hypothetical adverse scenario (quantitative outcome).
- JSTs take into account the specific risk profile of the individual institution and its sensitivity to the stress scenarios.
- Interim changes in the bank's risk profile since the cut-off date for the stress test and measures implemented by the bank to mitigate risk sensitivities (such as relevant asset sales) are also considered.

In addition, Pillar 2 guidance for the leverage ratio has been implemented in the SREP methodology.

Details on the [Leverage ratio Pillar 2 guidance](#)

3.3.4 Supervisory dialogue

The core objective of the SREP supervisory dialogue is for the JST to communicate the draft outcomes of the SREP assessment to the institution, explaining the quantitative and qualitative outcomes and expectations that will be included in the SREP decision or the SREP operational letter.

As a key element of the supervisory dialogue, JSTs organise a number of meetings – either physical meetings or conference calls – with the management body of the institution to present the conclusions of the SREP and the measures set out in the draft SREP decision. This allows the institution to understand how it has been assessed and the areas where it needs to improve. The intended effect of this dialogue is to foster robust communication and to give the institution the opportunity to ask questions and address any uncertainties.

The adoption of a SREP decision follows the standard ECB decision-making process as laid down in Article 26(8) of the SSM Regulation, i.e. a draft decision by the Supervisory Board is adopted by the Governing Council via the non-objection procedure.

Both SREP decisions and SREP operational acts must state the reasons upon which they are based.

^[21] This enables institutions to identify areas where improvements are needed more urgently and plan effective remedial actions in a timely manner. In the case of the SREP decisions, institutions must have an opportunity to be heard before these are adopted (known as the “right to be heard”; see the [SSM Supervisory Manual](#)).^[22] In the case of SREP operational acts, a simpler review process takes place.

4 Element 1: Business model

The ability of banks to organically generate capital is a key source of strength. Consistent profits signal that a bank is capable of growing and sustaining its lending business in a downturn and of absorbing negative shocks. Conversely, banks that are unable to generate sufficient profit to sustain growth can be caught in a negative spiral of weak growth and of vulnerability to external factors. These considerations prompt supervisors to assess a bank's business model in depth.

Business model risk can stem both from idiosyncratic factors (e.g. inefficient design or pricing of key products, inadequate targets, reliance on an unrealistic strategy, excessive concentration of risk, poor

funding and capital structures, or insufficient execution capabilities) as well as from external factors (e.g. a challenging economic environment or a changed competitive landscape).

The assessment of an institution's business model focuses on (i) the viability of the business and (ii) its sustainability. Business model viability is the ability to generate acceptable returns from a supervisory perspective over the next 12 months. Business model sustainability is a more forward-looking concept that refers to an institution's ability to generate acceptable returns through the cycle.

The business model assessment (BMA) provides insights into the key vulnerabilities of an institution on a forward-looking basis. The identification of key vulnerabilities is likely to help identify specific risks to solvency and liquidity that are material to the institution and should, therefore, support the assessment of other SREP elements.

In conducting a BMA, the JST needs to:

- identify the materiality of business areas (geographical locations, subsidiaries/branches and business lines/products – or divisions if business line profitability and forecasts are not readily available);
- assess the viability of the institution's business lines, also compared with its competitors;
- assess the sustainability of those business lines over an entire economic cycle.

The BMA is performed in three phases:

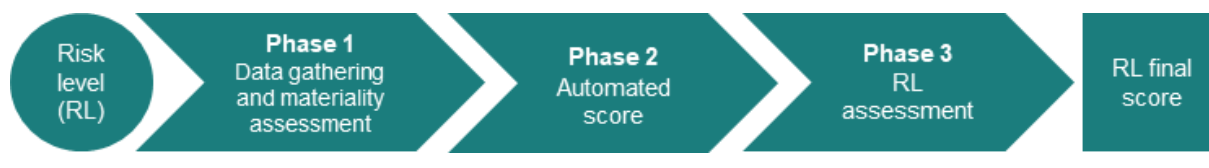
Table 1

Business model assessment process

Phase 1	Preliminary identification of material business areas, mainly based on information provided by the institution itself (management information, implementing technical standards (ITS), etc.)
Phase 2	Key risk indicators (KRIs)
Phase 3	Supervisory assessment, including: short-term (12-month) viability assessment, medium-term and over-the-cycle (>1 year) sustainability assessment

Figure 8

The three phases of the risk level assessment for a business model



Business model risk is only assessed from a quantitative (risk level) perspective. Phase 1 serves to identify the institution's business model and the materiality of its business areas (geographical locations, subsidiaries/branches, business lines/products or divisions, depending on the information available). Information is gathered to provide an up-to-date picture of the institution's major business areas. Furthermore, institutions are assigned to peer groups.

Phase 2 assigns the institution an automated score based on profitability indicators. The objective is to assess whether the institution can achieve adequate returns.

Phase 3 analyses the viability and sustainability of the institution's business model over the medium term and over the cycle. Indicators of past profitability are combined with forward-looking ones to assess the vulnerabilities of the various business models. More specifically, the BMA covers the following four main aspects (i.e. modules) based on the four pillars of a "robust" business model: generation of returns, strategic positioning, execution capabilities and resilience to external shocks. Phase 3 results in an overall assessment of the institution's business model risk that can lead to the Phase 2 score being adjusted in line with the constrained judgement rules.

As the economic and regulatory environment keeps evolving, the SREP BMA methodology is updated regularly, for example to reflect challenges posed by climate risks and digitalisation to the sustainability of an institution's business model.

Details on the Business model assessment SREP methodology

5 Element 2: Internal governance and risk management

Supervisors assess risk management and internal governance arrangements to evaluate the appropriate balancing of business and risk decisions and the broader quality of institutions' decision-making. The review spans across the institution's operational and organisational structure, the overall risk control and risk management framework and the technical architecture supporting the risk management framework and practices. More specifically, the internal governance and risk management assessment covers the following nine main aspects (i.e. modules): organisational structure, management body, risk management function, compliance function, internal audit function, risk management framework, remuneration, risk culture, and risk data aggregation and risk reporting.

This element adopts a broad perspective with a view to assessing an institution's overall organisational competence and capacity. This overall review complements the more focused assessment of the quality of risk-specific controls which is performed as part of other sub-elements (e.g. the quality of the

credit process is part of the credit risk assessment). The risk control framework at the risk category level is expected to be consistent with the firm-wide governance and risk management control framework.

Details on the [Internal governance and risk management SREP methodology](#).

6 Element 3: Risks to capital

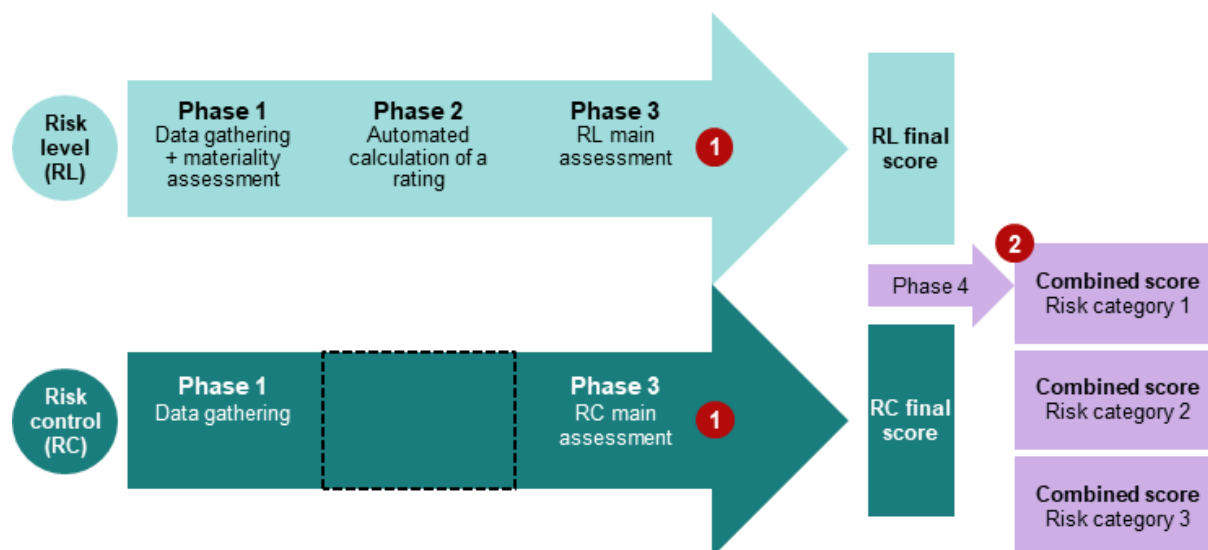
Supervisors conduct a risk assessment of the main risks affecting the banks' capital position. The information is then combined in an overall capital adequacy assessment which also gathers the conclusions around the banks' internal capital management and planning. Finally, the assessment of risks to capital also covers the risks related to excessive leverage, which is a key Basel III feature.

6.1 Assessment of risks to capital

The risk assessment covers four sub-elements: credit risk, market risk, operational risk and information and communications technology (ICT) risk, and IRRBB. For each of these risks, risk levels and risk controls are assessed in three complementary phases: (i) a data/information gathering/materiality assessment phase (Phase 1); (ii) a scoring phase (Phase 2) based on pre-defined indicators (risk level); and (iii) a supervisory assessment phase (Phase 3). Scores calculated in Phase 2 can be adjusted by the JST in Phase 3 to a certain extent in line with the principle of constrained judgement. Phase 3 assessments must be justified and documented and are subject to horizontal consistency checks. For each risk category, the risk level and risk control assessments are combined (Phase 4 in the diagram) to achieve a combined rationale and a combined score.

Figure 9

The three complementary phases of risk level and risk control assessments for risks to capital



Assessments performed (+ratings assigned) in steps successively focusing on rules and judgement (facilitating quality assurance). Constrained judgement applies:

- 1 between Phases 2 and 3 of a category's risk level or risk control assessment (+2/-1);
- 2 when combining RL and RC assessments for each risk category.

6.1.1 Credit risk

Credit risk is defined as the possibility that an institution could suffer losses stemming from an obligor's failure to repay a loan or otherwise meet a contractual obligation in accordance with agreed terms.

For most institutions, loans are the largest and most obvious source of credit risk. However, credit risk may also arise from other activities, whether part of the banking book or the trading book, on or off the balance sheet. For instance, institutions face credit risk or counterparty risk through various financial instruments, including acceptances, interbank transactions, trade financing, foreign exchange transactions, forward contracts, swaps, bonds, equities, options, the extension of commitments and guarantees, and the settlement of transactions.

The aspects that typically need to be considered when reviewing an institution's credit risk are as follows:

- > the size of credit exposures/activities;
- > the nature and composition of the credit portfolio, including its concentration;
- > developments in the credit portfolio;

- > the quality of the credit portfolio;
- > the credit risk parameters, including internal ratings-based ones (e.g. probability of default, loss given default and credit conversion factors) and other internally estimated parameters;
- > credit risk mitigants and coverage.

Details on the [Credit risk SREP methodology](#).

6.1.2 Market risk

Market risk is defined as the risk of losses arising from movements in market prices or from inaccurate determination of their fair value on the balance sheet with an impact on profits and losses or on the capital position of the institution.

The market risk assessment covers the risk in on and off-balance-sheet positions arising from:

- > risk factors underlying the instruments held: interest rate risk and credit spread risk (excluding positions in the banking book), equity risk, foreign exchange risk (including the gold position) and commodity risk (including precious metal positions);
- > features of the positions taken: valuation risk related to complex and illiquid positions, non-linear risk and gap risk;
- > the relationship with the counterparty to the transactions: credit valuation adjustment (CVA) risk and other valuation adjustments (xVA) risk;
- > risk management practices of the institution: hedging strategies, basis risk and concentration risk.

Details on the [Market risk SREP methodology](#).

6.1.3 Interest rate risk in the banking book

Interest rate risk is an institution's exposure to unfavourable movements in interest rates. IRRBB includes the interest rate risk that arises from potential changes in interest rates that adversely affect an institution's non-trading activities.

The IRRBB assessment comprises two complementary analyses:

- > analysis from an economic value perspective, which focuses on how changes in interest rates affect the present value of the expected net cash flows;
- > analysis from an earnings perspective, which focuses on the impact that changes in interest rates have on near-term earnings.

Institutions should demonstrate their capacity to identify and assess the different components of IRRBB (i.e. gap risk, basis risk and option risk), which can be defined as follows:

- > **Gap risk** is the risk arising from timing mismatches in the maturity (for fixed rates) and repricing (for floating rates) of assets, liabilities and off-balance-sheet short and long-term positions, or from

changes in the slope and the shape of the yield curve.

- **Basis risk** is the risk that arises when exposures to one interest rate are hedged using exposures to another rate that reprices under slightly different conditions.
- **Option risk** (or optionality) is the risk that arises from options where the institution or its customer can alter the level and timing of cash flows, including embedded options (e.g. consumers redeeming fixed-rate products when market rates change). This optionality can be either automatic (i.e. the holder will almost certainly exercise the option if it is in the holder's financial interest to do so) or behavioural (i.e. the decision to exercise depends not only on interest rates but also on client behaviour, which is often expected to change as interest rates change).
- CSRBB is also evaluated as part of IRRBB.

Details on the [IRRBB/CSRBB SREP methodology](#).

6.1.4 Operational risk and ICT risk

As the economic and regulatory environment keeps evolving, the SREP methodology includes the assessment of operational risk, ICT risk and operational resilience.

Operational risk is defined as the risk of losses resulting from inadequate or failed internal processes, people and systems or from external events.

- Operational risk includes legal risk, compliance risk, conduct risk, model risk (for models not relating to other SREP risk categories) and ICT risk, but excludes strategic and reputational risk. Nevertheless, reputational risk should be assessed together with operational risk given the strong links between the two in line with the EBA Guidelines on SREP. In accordance with the Basel classification, operational risk is broken down into seven event types: internal fraud; external fraud; employment practices and workplace safety; clients, products and business practices; damage to physical assets; business disruption and system failures; and execution, delivery and process management.
- When assessing ICT risk, supervisors evaluate the risk of loss, whether materialised or potential, due to breach of confidentiality, failure of integrity of systems and data, unavailability of systems and data, or inability to change ICT within a reasonable time and reasonable costs when the environment or business requirements change (i.e. agility).
- Supervisors also form a view on the institution's operational resilience. Operational resilience is defined as the ability of a bank to deliver critical operations through disruption. This ability enables a bank to identify and protect itself from threats and potential failures, and to respond and adapt to, as well as recover and learn from, disruptive events to minimise their impact on the delivery of critical operations through disruption.

Details on the [Operational risk and ICT SREP methodology](#).

6.2 Capital adequacy assessment

The information coming from the assessment of the four risks above is combined with considerations around the overall availability of capital in the bank and the adequacy of the bank's own processes.

The assessment of an institution's capital adequacy is a quantitative assessment of its capacity to comply with all its regulatory capital requirements, guidance and other capital needs. JSTs assess to what extent the capital situation of a bank raises doubts concerning its ability to sustainably follow its business model, considering both normative and economic perspectives, in the current situation and over the medium term, and under normal and stressed conditions.

The assessment leverages on other SREP assessments, including the assessment of risks to capital, the assessment of the ICAAP and the assessment under stressed conditions. For the forward-looking part of the assessment, banks' capital plans are challenged and adjusted where necessary.

The JST assesses the institution's ICAAP, i.e. its internal processes for managing its capital adequacy. This assessment is performed from both a qualitative and a quantitative perspective. The objective is to assess whether the institution's ICAAP is sound and proportionate to the nature, scale and complexity of the institution's activities, checking, for instance: (i) how the institution identifies, measures and aggregates its risks; (ii) how the ICAAP is embedded into its daily management processes, including the role of the management body, as well as the roles of internal control, validation and audit as part of the governance framework for the ICAAP; and (iii) how the forward-looking perspective is considered, e.g. in capital planning. The ICAAP assessment should also inform the internal governance and risk management assessment. In addition, the review of both qualitative and quantitative aspects of the ICAAP plays a significant role in the supervisors' determination of additional capital requirements.

The JST assesses the institution's capacity to cover its capital needs from a forward-looking perspective, assuming stressed economic and financial developments. This is done using a wide range of information sources, including the institution's internal stressed projections, European banking supervision's stressed supervisory calculations and the outcome of supervisory (bottom-up and/or top-down) stress tests when available.

Institutions usually rely on a wide range of internal stress tests and sensitivity analyses to determine their capital trajectory and their ability to raise own funds at a certain horizon. This helps them to identify backstop actions that may be warranted at an early stage should adverse scenarios materialise. An institution's ICAAP risk taxonomy is expected to be the same overall under both normal and stressed conditions, even if additional risks may be identified under stressed conditions that are not relevant under normal conditions.

In line with the [ECB Guide to the internal capital adequacy assessment process \(ICAAP\)](#), when reviewing these stress tests the ECB follows the principles and recommendations established by international supervisory bodies, which serve as a reference for the ECB expectations for banks' ICAAPs.

A broader disclosure of the ICAAP methodology is provided under this [link](#).

6.3 Risk of excessive leverage

Basel III introduced the leverage ratio as a non-risk-based backstop to address the risk of excessive leverage. As of June 2021, the fifth Capital Requirements Directive (CRD V) and the second Capital Requirements Regulation (CRR II) imposed additional own funds requirements in the form of a Pillar 2 requirement for the leverage ratio to address the risk of excessive leverage which is not covered or not sufficiently covered by Pillar 1 requirements (P1R).

The assessment of the risk of excessive leverage covers the areas of contingent leverage – the risk of an unexpected increase in the leverage ratio exposure, regulatory arbitrage and items excluded from the P1R for the leverage ratio – and is focused on five risk drivers:

- contingent leverage originating from derivatives and securities financing transactions ;
- contingent leverage originating from off-balance-sheet items;
- contingent leverage originating from step-in risk;
- window dressing;
- institution-specific risks in exposures excluded from P1R for the leverage ratio.

Each risk driver is assessed only if it is identified as material on the basis of pre-defined indicators.

7 Element 4: Risks to liquidity

The JST's assessment of the institution's ability to cover its liquidity and funding-related risks relies on "building blocks". These make it possible to analyse the institution's liquidity and funding position from three different and complementary angles.

7.1 Assessment of risks to liquidity

The JST assesses the risk levels and risk controls for short-term liquidity risk and funding sustainability risk in three complementary phases.

Liquidity is the ability of an institution to fund increases in assets and meet obligations as they become due, without incurring unacceptable losses. The fundamental role of credit institutions in the maturity transformation of short-term deposits into long-term loans makes them inherently vulnerable to liquidity risk, which (i) is institution-specific in nature and (ii) affects markets as a whole. Effective liquidity risk management helps to ensure that institutions are able to meet cash-flow obligations, which are uncertain as they are affected by external events and the behaviour of other agents.

Risk level scores for short-term liquidity risk and funding sustainability risk are combined at the end of the process to produce a single score for liquidity risk.

A single risk control assessment is performed for short-term liquidity risk and funding sustainability risk and one combined risk control score is assigned.

The final outcome is summarised in an overall liquidity risk rationale and score. This reflects the dynamic nature of short-term liquidity and funding risks, which can materialise very rapidly and therefore need to be assessed at a relatively granular level depending on the overall risk appetite.

7.1.1 Short-term liquidity risk

Short-term liquidity risk is the risk that an institution will be unable to meet its short-term financial obligations when they fall due. Obligations can be payment obligations (i.e. obligations to deliver cash) or obligations to deliver collateral (assets). The risk generally arises when an institution faces outflows that exceed its inflows and is not able to generate enough liquidity with its counterbalancing capacity

over a horizon of up to one year. Therefore, potential maturity mismatches in cash and collateral flows across regions, currencies and netting arrangements need to be assessed.

An institution's short-term liquidity risk is assessed from two different perspectives:

- its cash and collateral needs arising from contractual and behavioural cash payment and collateral delivery obligations;
- its available counterbalancing capacity.

Both perspectives need to be assessed at the relevant point in time, at a certain horizon and over the cycle. The forward-looking assessment needs to factor in both normal and stressed economic conditions.

7.1.2 Funding sustainability risk

Funding sustainability risk is the risk that an institution is unable to fund its balance sheet in a sustainable way in the medium to long term. This includes the capacity to roll over maturing funding and increase liabilities at any time to cover refinancing needs. Factors such as a poor capital position, an unclear business strategy, a negative rating outlook or a negative perception on the part of investors can restrict access to funding markets and thereby increase the risk.

A balanced funding profile will, to a certain extent, shield an institution from market disruptions. Institutions must therefore strive to maintain the right balance between short-term and long-term, secured and unsecured funding and their different funding sources (in terms of counterparties, instruments, costs, currencies and markets). A weakness in one area (e.g. a high concentration in certain funding segments, excessive maturity mismatches or high levels of asset encumbrance) can exacerbate an already stressed situation in terms of cumulative liquidity and refinancing requirements.

An institution's funding sustainability risk is assessed from two different perspectives:

- its medium to long-term funding needs;
- its capacity to raise the necessary funding over time.

Both perspectives need to be assessed at the relevant point in time, at a certain horizon and over the cycle. The forward-looking assessment needs to factor in both normal and stressed economic and financial market conditions.

7.2 Challenging an institution's internal assessment of its liquidity needs

The JST assesses the institution's internal processes for identifying and estimating the liquidity needed to cover its own risks (ILAAP). This assessment is performed from both a qualitative and a quantitative perspective. The objective is to assess whether the institution's ILAAP framework is reliable, checking, for instance: (i) how it identifies its risks; (ii) how the ILAAP is embedded into its daily management processes (e.g. looking at the roles of internal control, validation and audit as part of the governance framework for the ILAAP); and (iii) how the quantification models are constructed, controlled, acted upon, etc. It also has a forward-looking perspective. The ILAAP assessment should inform the

assessment of internal governance and risk management. The outcome of this assessment should be taken into account when assigning the overall liquidity adequacy score and when considering the imposition of liquidity measures.

For further details, please refer to the [ECB Guide to the internal liquidity adequacy assessment process \(ILAAP\)](#).

7.3 Challenging an institution's internal estimates of liquidity under stressed conditions

The JST assesses the institution's capacity to cover its liquidity needs from a forward-looking perspective, assuming stressed economic and financial developments. After finalising the assessment, the JST should consider whether there is a need to impose liquidity measures on the credit institution. SREP measures should reflect weaknesses and vulnerabilities identified in the liquidity risk assessment, which can be either qualitative or quantitative in nature (or both).

Liquidity stress tests play a key role in the quantitative assessment of institutions' liquidity needs and their ability to continue their operations through periods of stress. For one thing, liquidity stress tests serve to challenge the internal stress tests that are developed by the institutions themselves. Moreover, when combined with such internal stress tests, they help to identify inherent liquidity and funding risks faced by an institution in a forward-looking manner. The liquidity stress test framework adopts a top-down approach, leveraging the reporting of supervisory data.

7.4 Liquidity adequacy assessment

The liquidity adequacy assessment combines the conclusions of the previous steps, and the JST's assessment is formalised in a single rationale and score. There is no mechanical rule to follow when assigning the score. Rather, the different characteristics presented in score definitions are to be regarded as typical for the scores they are associated with. JSTs should judge all elements assessed under this category from a holistic perspective and assign the score that best reflects the liquidity adequacy situation overall.

In particular, quantitative measures should be considered when there are material risks that are not covered by the liquidity coverage ratio and the institution is not adequately mitigating these risks via its ILAAP.

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For specific terminology please refer to the [SSM glossary](#) (available in English only).

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1.

Council Regulation (EU) No 1024/2013 of 15 October 2013 conferring specific tasks on the European Central Bank concerning policies relating to the prudential supervision of credit institutions (OJ L 287, 29.10.2013, p. 63).

2.

Regulation (EU) No 468/2014 of the European Central Bank of 16 April 2014 establishing the framework for cooperation within the Single Supervisory Mechanism between the European Central Bank and national competent authorities and with national designated authorities (SSM Framework Regulation) (ECB/2014/17) (OJ L 141, 14.5.2014, p. 1).

3.

Guidelines EBA/GL/2022/03 of the European Banking Authority of 18 March 2022 on common procedures and methodologies for the supervisory review and evaluation process (SREP) and supervisory stress testing under Directive 2013/36/EU, available on the [EBA's website](#) and referred to in this report as the “EBA Guidelines on SREP”.

4.

Directive 2013/36/EU of the European Parliament and of the Council of 26 June 2013 on access to the activity of credit institutions and the prudential supervision of credit institutions, amending Directive 2002/87/EC and repealing Directives 2006/48/EC and 2006/49/EC (OJ L 176, 27.6.2013, p. 338).

5.

Regulation (EU) No 575/2013 of the European Parliament and of the Council of 26 June 2013 on prudential requirements for credit institutions and amending Regulation (EU) No 648/2012 (OJ L 176, 27.6.2013, p. 1).

6.

Following an [external review](#) of the supervisory process in 2023, ECB Banking Supervision initiated a number of initiatives to make supervision more efficient, effective and risk-based.

7.

According to the EBA Guidelines on SREP, “overall SREP assessment” means the up-to-date assessment of the overall viability of an institution based on assessment of the SREP elements.

8.

Article 99 of the CRD.

9.

“Considerations in relation to inherent risk”, in line with the [EBA Guidelines on SREP](#).

10.

“Considerations in relation to adequate management and controls”, in line with the [EBA Guidelines on SREP](#).

11.

As of the SREP 2025, the SREP outcome may also be communicated by way of an operational letter instead of a SREP decision under certain conditions and as long as the JST does not issue new qualitative or quantitative requirements (see Section 3.3.1). In that case, the previously issued requirements remain applicable unless they have been remediated in the meantime.

12.

“Considerations in relation to inherent risk”, in line with the [EBA Guidelines on SREP](#)

13.

“Considerations in relation to adequate management and controls”, in line with the [EBA Guidelines on SREP](#).

14.

The assessment of capital adequacy is an exception and consists of Phases 1 and 3 only.

15.

Article 99(6) of the CRD and [EBA Guidelines on SREP](#).

16.

[EBA report on the functioning of AML/CFT colleges \(EBA/REP/2020/35\)](#). Multilateral agreement between the ECB and numerous AML/CFT national authorities within the EEA on the practical modalities for exchange of information pursuant to Article 57a(2) of Directive EU 2015/849; Guidelines on cooperation and information exchange between prudential supervisors, AML/CFT supervisors and financial intelligence units under Directive 2013/36/EU.

17.

In line with the SREP reform, the new SREP decisions will focus on the most severe findings and key supervisory concerns. Accordingly, supervisory measures driven by low severity findings are not expected to be included in those SREP decisions.

18.

An operational act is a written communication (letter or email) from the relevant business areas (e.g. JSTs) which communicate non-binding requests or recommendations to a given supervised entity. Given that operational acts are not meant to impose any binding obligation, they are not adopted by the decision-making bodies. This does not exclude prior information being given to the Supervisory Board if the relevant business areas deem it necessary.

19.

Directive (EU) 2019/878 of the European Parliament and of the Council of 20 May 2019 amending Directive 2013/36/EU as regards exempted entities, financial holding companies, mixed financial holding companies, remuneration, supervisory measures and powers and capital conservation measures (OJ L 150, 7.6.2019, p. 253).

20.

See "[Pillar 2 guidance](#)".

21.

Article 22(2) of the SSM Regulation and Article 33 of the SSM Framework Regulation.

22.

Article 22(1) of the SSM Regulation and Article 31 of the SSM Framework Regulation.

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